

AQA A-Level Economics (7136/2) · Mark Scheme · Predicted Paper Set C

Total: 80 marks | Section A: data response (40 marks, Q01–Q04). Section B: essay (40 marks, Q05–Q06).

Section A · Data response (Q01–Q04)

Question 0 1 (2 marks)

Expected answer: " 5.9 percentage points (decrease) (working: $3.2 - (decrease)$).

- Correct answer (" 5.9 percentage points (decrease)) with correct sign · 2 marks
- Correct method but wrong final answer · 1 mark
- No creditable content · 0 marks

Question 0 2 (4 marks)

Expected answer: Two explained references to Extract A data.

- Identifies first relevant data point · 1 mark
- Develops first point with macro reasoning · 1 mark
- Identifies second relevant data point · 1 mark
- Develops second point with macro reasoning · 1 mark
- No creditable content · 0 marks

Question 0 3 (9 marks)

- Level 1 (1–2 marks): Limited knowledge and understanding. Weak or no application. No analysis or evaluation.
- Level 2 (3–4 marks): Some knowledge and understanding. Some application. Limited analysis. Little or no evaluation.
- Level 3 (5–6 marks): Reasonable knowledge and understanding. Reasonable application. Reasonable analysis with some chains of reasoning. Diagram present but may have errors.
- Level 4 (7–9 marks): Good knowledge and understanding. Good application to the issue. Good analysis with developed chains of reasoning supported by an accurate, fully-labelled diagram.

Required diagram: An AD/AS diagram showing AD shifting left from AD^* to AD , and real output falling from Y^* to Y .

Alternatives accepted: A diagram showing the transmission mechanism from interest rates to consumption and investment

Labels required: Price level, Real output (Y), AD^* , AD , SRAS, LRAS

[Figure: Figure · AD/AS analysis of wage-driven inflation]

Indicative content (KAA + E):

- K: definitions of AD, AS, monetary transmission mechanism.
- App: explicit reference to Extract B and the Bank Rate path.

- An: chain from rate rise !' consumption/investment fall !' AD shift le
- Diagram: AD/AS with clear shift, both axes labelled, equilibrium points marked.

Question 0 4 (25 marks)

- Level 1 (1–5 marks): Level 1 (1–5 marks) – Minimal. Very basic points. No real structure. No evaluation.
- Level 2 (6–10 marks): Level 2 (6–10 marks) – Basic. Limited knowledge. Weak or unclear analysis. Very little evaluation. No real use of extract.
- Level 3 (11–15 marks): Level 3 (11–15 marks) – Mid-Level. Sound but basic explanation. Chains of reasoning short or underdeveloped. Limited or generic evaluation. Weak use of extract.
- Level 4 (16–20 marks): Level 4 (16–20 marks) – Strong Answer. AO1/AO2: good knowledge and application; some use of extract (may not be fully integrated). AO3: clear chains of reasoning but may lack depth in places. AO4: evaluation present but uneven or less developed; judgement may be generic.
- Level 5 (21–25 marks): Level 5 (21–25 marks) – Top Band. AO1: precise understanding of the topic. AO2: strong, consistent use of extracts; specific numerical data cited; UK-contextualised. AO3: well-developed chains of reasoning with clear transmission mechanisms. AO4 (top-band discriminator): balanced, well-developed evaluation throughout; supported, contextual judgement; multiple developed evaluation points (e.g. time lags, dependence on confidence, structural vs cyclical factors, regressivity, PED). A supported judgement / conclusion paragraph is required.

Indicative content (KAA + E):

- K: precise definitions of monetary policy and its transmission mechanism.
- App: sustained reference to Extracts A–C and the data path.
- An: rigorous chains for monetary, fiscal, and supply-side responses.
- E: balanced evaluation; lags, expectations, exchange rate channels; supported judgement.

Section B · Essay (Q05–Q06)

Question 0 5 (15 marks)

- Level 1 (1–5 marks): Level 1 (1–5 marks) – Basic. Vague or incorrect definitions. Very basic statements. No real analytical chains. No clear link to the question's economic concept.
- Level 2 (6–10 marks): Level 2 (6–10 marks) – Mid-Level. Definitions partially correct. Some explanation, often unbalanced (one concept covered well, the other weak). Chains of reasoning incomplete. Examples generic or missing. Weak use of economic terminology.
- Level 3 (11–15 marks): Level 3 (11–15 marks) – Top Band. AO1: accurate definitions of relevant concepts. AO2: clear use of relevant examples. AO3 (top-band discriminator): fully developed chains of reasoning with explicit logical chains (e.g. "firms ignore e over-consumption !' welfare loss"). Note: AO 4 (evaluation) is NOT re

Required diagram: An AD/AS or related macro diagram appropriate to full employment, with clearly labelled axes, equilibrium points and shifts.

Labels required: Price level, Real output (Y), AD, SRAS, LRAS, Equilibrium points

[Figure: Figure · Reference diagram for full employment]

Indicative content (KAA + E):

- Define key macro concept underpinning full employment (e.g. AD, AS, multiplier, exchange rate).

- Apply theory using AD/AS or other diagram framework.
- Develop chain showing impact on growth, inflation, unemployment, BoP.

Question 0 6 (25 marks)

- Level 1 (1–5 marks): Level 1 (1–5 marks) – Minimal. Very basic points. No real structure. No evaluation.
- Level 2 (6–10 marks): Level 2 (6–10 marks) – Basic. Limited knowledge. Weak or unclear analysis. Very little evaluation. No real use of extract.
- Level 3 (11–15 marks): Level 3 (11–15 marks) – Mid-Level. Sound but basic explanation. Chains of reasoning short or underdeveloped. Limited or generic evaluation. Weak use of extract.
- Level 4 (16–20 marks): Level 4 (16–20 marks) – Strong Answer. AO1/AO2: good knowledge and application; some use of extract (may not be fully integrated). AO3: clear chains of reasoning but may lack depth in places. AO4: evaluation present but uneven or less developed; judgement may be generic.
- Level 5 (21–25 marks): Level 5 (21–25 marks) – Top Band. AO1: precise understanding of the topic. AO2: strong, consistent use of extracts; specific numerical data cited; UK-contextualised. AO3: well-developed chains of reasoning with clear transmission mechanisms. AO4 (top-band discriminator): balanced, well-developed evaluation throughout; supported, contextual judgement; multiple developed evaluation points (e.g. time lags, dependence on confidence, structural vs cyclical factors, regressivity, PED). A supported judgement / conclusion paragraph is required.

Indicative content (KAA + E):

- Strengths of supply-side: long-run growth, productive capacity, lower NAIRU.
- Weaknesses: long time lags, high fiscal cost, distributional effects.
- Compare with demand-side fiscal and monetary policy.
- Judgement: best mix depends on cause of the problem and economic conditions.